

NINETEENTH CONGRESS OF THE)
REPUBLIC OF THE PHILIPPINES)
First Regular Session)



HOUSE OF REPRESENTATIVES

House Bill No. 3704

Introduced by Representative Ralph G. Recto

AN ACT
STRENGTHENING LOCAL INFRASTRUCTURE INDUSTRY PLAYERS,
AMENDING FOR THE PURPOSE SECTION 23 OF REPUBLIC ACT NO. 9184,
OTHERWISE KNOWN AS THE GOVERNMENT PROCUREMENT REFORM ACT,
AND FOR OTHER PURPOSES

EXPLANATORY NOTE

Infrastructure plays a significant role in a country's economic growth and ultimately, the people's quality of life. However, investments in public sector infrastructure have been consistently below 3% of the gross domestic product (GDP) and it was only in 2015, that government spending on infrastructure increased at slightly over 4% of GDP. In 2021, National government spending for infrastructure and other Capital Outlays increased by 31.3% (P213.6 billion) after a huge drop in 2020 due to the discontinuance of some capital outlay projects to fund the COVID-19 expenditures of the government.¹

A study made by the Asian Infrastructure Investment Bank (AIIB) in 2020 showed that the Philippines' combined public and private infrastructure spending at 5.2% of GDP is lower compared to Thailand (6%), Cambodia (6.8%), Malaysia (8.1%), Vietnam (8.2%) and Lao PDR (11.3%).² More infrastructure investments are needed to close the huge infrastructure gap and increase economic productivity.

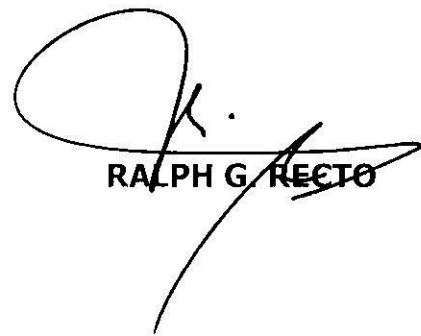
¹ Facts in Figures No. 30. "NG Disbursement Performance, FY 2021". May 2022.

² Facts in Figures No. 30. "Public Infrastructure Expenditure". May 2021.

However, to ensure inclusive growth, the construction industry should not be monopolized by the infrastructure giants. The government should also enable small players to contribute to its envisioned 'golden age of infrastructure'³ by providing them with better chances in winning government infrastructure contracts.

The proposed measure seeks to support the local infrastructure industry, promote growth in small infrastructure firms and encourage infrastructure firms to set up their offices in the provinces. To achieve these, the bill proposes additional eligibility requirements for the procurement of hard infrastructure projects to give priority to infrastructure firms whose main office is situated in the province or region where the project shall be implemented by determining the participation of prospective bidders for the procurement of infrastructure projects based on the approved budget for the contract.

In view of the foregoing, immediate approval of this bill is earnestly sought.



RALPH G. RECTO

mjma

³ <http://business.inquirer.net/225770/philippines-aims-golden-age-infrastructure> (Accessed April 19, 2017).

HOUSE OF REPRESENTATIVES
House Bill No. 3704

Introduced by Representative Ralph G. Recto

AN ACT
STRENGTHENING LOCAL INFRASTRUCTURE INDUSTRY PLAYERS,
AMENDING FOR THE PURPOSE SECTION 23 OF REPUBLIC ACT NO. 9184,
OTHERWISE KNOWN AS THE GOVERNMENT PROCUREMENT REFORM ACT,
AND FOR OTHER PURPOSES

Be it enacted by the Senate and House of Representatives of the Philippines in Congress assembled:

1 Section 1. Section 23 of Republic Act No. 9184 otherwise known as the
2 "Government Procurement Reform Act" is hereby amended to read as follows;

3 "Sec. 23. Eligibility Requirements for the Procurement of Goods and
4 Infrastructure Projects. – The BAC or, under special circumstances specified in
5 the IRR, its duly designated organic office shall determine the eligibility of
6 prospective bidders for the procurement of Goods and Infrastructure Projects,
7 based on the bidders' compliance with the eligibility requirements within the
8 period set forth in the Invitation to Bid. The eligibility requirements shall
9 provide for fair and equal access to all prospective bidders. The documents
10 submitted in satisfaction of the eligibility requirements shall be made under
11 oath by the prospective bidder or by his duly authorized representative
12 certifying to the correctness of the statements made and the completeness
13 and authenticity of the documents submitted.

14 "A prospective bidder may be allowed to submit his eligibility
15 requirements electronically. However, said bidder shall later on certify under
16 oath as to correctness of the statements made and the completeness and
17 authenticity of the documents submitted.

1 **"PROVIDED, THAT, FOR THE PROCUREMENT OF**
2 **INFRASTRUCTURE PROJECTS, THE PARTICIPATION OF**
3 **PROSPECTIVE BIDDERS SHALL BE DETERMINED BASED ON THE**
4 **APPROVED BUDGET FOR THE CONTRACT (ABC) AS FOLLOWS:**

5 1. ABC OF ONE HUNDRED MILLION PESOS
6 (P100,000,000.00) AND BELOW. – LOCATION OF THE MAIN
7 OFFICE OF THE BIDDER MUST BE WITHIN THE PROVINCE
8 WHERE THE PROJECT SHALL BE IMPLEMENTED;

9 2. ABC OF ABOVE ONE HUNDRED MILLION PESOS
10 (P100,000,000.00) AND BELOW TWO HUNDRED MILLION
11 PESOS (P200,000,000.00). – LOCATION OF THE MAIN OFFICE
12 OF THE BIDDER MUST BE WITHIN THE REGION WHERE THE
13 PROJECT SHALL BE IMPLEMENTED; AND

14 3. ABC OF ABOVE TWO HUNDRED MILLION PESOS
15 (P200,000,000.00). – LOCATION OF THE MAIN OFFICE OF THE
16 BIDDER CAN BE ANYWHERE IN THE PHILIPPINES."

17 Sec. 2. *Implementing Rules and Regulations.* – Within sixty (60) days after
18 the effectivity of this Act, the Department of Public Works and Highways and the
19 Government Procurement Policy Board shall formulate the rules and regulations to
20 effectively implement the provisions of this Act.

21 Sec. 3. *Repealing Clause.* – Any law, presidential decree or issuance,
22 executive order, letter of instruction, rule or regulation inconsistent with the
23 provisions of this Act is hereby repealed, amended or modified accordingly.

24 Sec. 4. *Effectivity.* – This Act shall take effect fifteen (15) days following its
25 complete publication in two (2) newspapers of general circulation or in the *Official*
26 *Gazette.*

 Approved,